

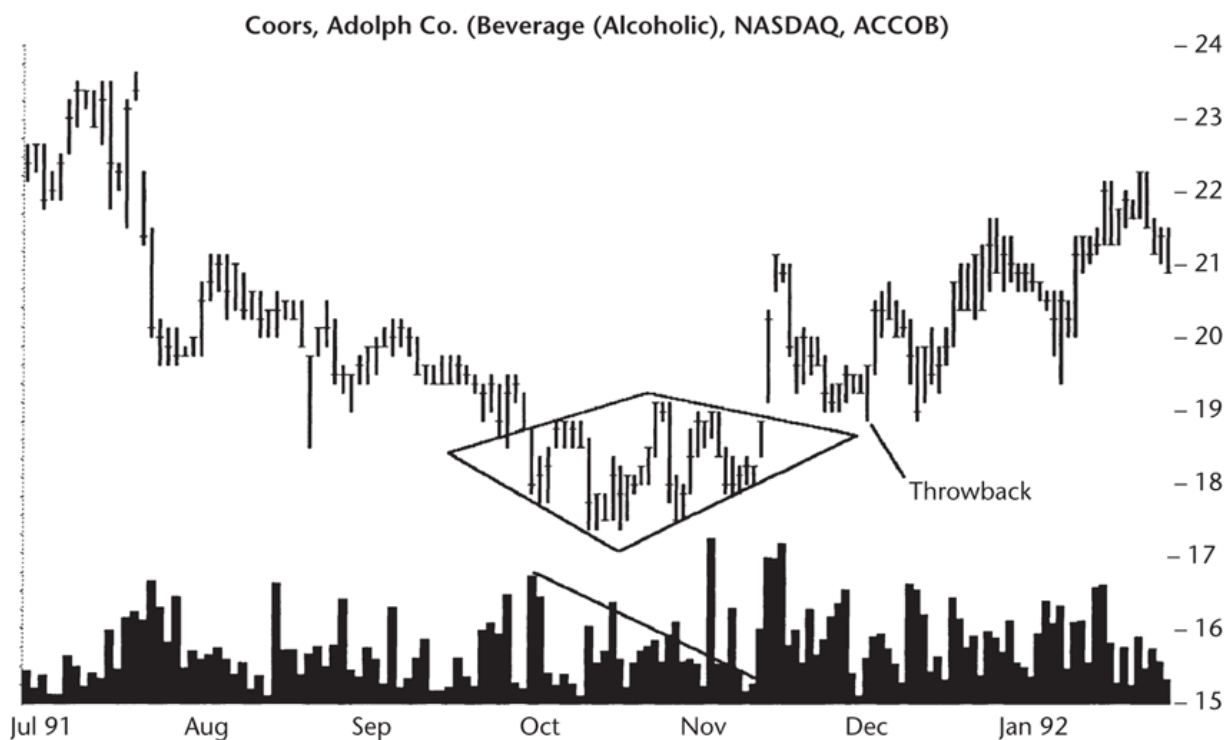


Figure 23.1 A diamond bottom reversal. Volume typically recedes through the formation until the breakout day. This is a two-diagonal diamond.

Volume throughout the chart pattern is diminishing. The breakout usually sports a significant rise in volume. The figure shows high volume on the breakout when price gaps through the diamond trendline boundary. (There are three gaps along the upward breakout trend. The first is a breakaway gap, the middle one when price pierces the top trendline is a continuation gap, and an exhaustion gap ends the uptrend). In less than 3 months, the stock climbs over 20% to a high of 22.25.

A diamond bottom represents the struggle between buyers and sellers. Buying demand pushes price up to a new minor high until selling pressure forces price back down. If selling pressure is strong enough, price drops to a new minor low. The widening pattern continues, but usually not for many swings.

On the right half of the diamond, greedy holders—seeing a good price for the stock—sell, and the price rise stops, turns around, and drops. Sellers buy but do so before price makes a new low. They are excited about the stock and buy in before price can reverse and leave them without a position.